

IWM RUSSELL 2000 SCANNER

SCAN (11:41 ET)

May 21, 2026 | 11:43 AM ET

2 setups identified | 0 A-Grade | 1 B-Grade | 1 C-Grade

Grade Summary

A - Breakout Setup (0)	B - Strong Setup (1)	C - Watch List (1)
	AAP	STEP

All Setups

Gr	Ticker	Company	Theme	Price	Chg %	Cap	Float	RS/SPY	52W Hi	Catalyst
B	AAP	Advance Auto Par	Auto Parts Turnar	\$61.28	+19.6%	\$3.7B	60M	+2.6	88%	The immediate driver i
C	STEP	StepStone Group	Private Markets E	\$53.94	+3.7%	\$6.7B	68M	+14.9	69%	Today's move appears t

AAP

Advance Auto Parts Inc.

\$61.28

+19.59%

RS vs SPY: +2.6%

B STRONG SETUP

\$3.7B Cap | 60M Float

Auto Parts Retail | Theme: Auto Parts Turnaround | 52W Hi: 88% | Base Tight: 5.18 | Vol: 5.0x | RS/SPY: +2.6% | Above 20MA: YES | EARNINGS TODAY

Setup Metrics	
Price	\$61.28
Day Change	+19.59%
Mkt Cap	\$3.69B
Float	60M sh
RS vs SPY	+2.6%
52W Hi Prox	88%
Base Tight	5.18
Vol vs Avg	5.0x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS

Catalyst / Today's Driver

The immediate driver is today's earnings print (May 21) - a beat-and/or-raise event that has triggered a +19.6% gap on 5x average volume, compressing the stock toward its 52-week high. The forward catalyst path is the critical question: durable follow-through requires evidence that margin recovery and same-store sales stabilization are sustainable trends, not a one-quarter cleanup. The next key event is the Q2 earnings print (likely late August), plus any strategic update or analyst day where management can validate the operational turnaround thesis - without that confirmation, today's move risks being fully discounted on a single quarter.

BUSINESS & POSITION

Advance Auto Parts is one of the largest U.S. automotive aftermarket parts retailers, serving both DIY and professional installer customers through approximately 4,700 stores. The company has been executing a multi-year turnaround under relatively new leadership, focusing on store rationalization, supply-chain simplification, and gross margin recovery after years of underperformance versus peers AutoZone and O'Reilly.

FACTOR & THEME

AAP has modest secular tailwind exposure via an aging U.S. vehicle fleet (average age now ~12.6 years) that structurally supports parts demand, but this is an industry-wide tailwind shared by better-positioned competitors. The more relevant theme is a company-specific operational recovery - a self-help story rather than a pure secular growth play, which limits multiple expansion unless execution proves durable across multiple quarters.

BREAKOUT SIGNAL

Hold above \$57.00 gap-support on volume normalization; add only on a constructive tight consolidation above \$59.00 over the next 5-10 sessions

INSTITUTIONAL

Institutional ownership data is not available from this feed - recommend cross-referencing 13F filings; given the turnaround narrative, activist and value-oriented institutions are likely significant holders. No insider open-market buys in the last 60 days (insider_count = 0); absence of insider buying ahead of a strong print is a mild negative signal - insiders did not load up in anticipation, which slightly tempers conviction on the durability of the recovery. The 5.0x volume surge is consistent with a squeeze of short sellers (AAP has historically carried elevated short interest in its turnaround phase) combined with institutional re-rating buying.

EARNINGS

Earnings Today

EARNINGS CONTEXT

Earnings are today (May 21) - the move IS the earnings reaction. Forward consensus and next-quarter setup are the relevant metrics now; the market is pricing in a recovery inflection. Verify Q1 beat magnitude (EPS vs. consensus, comps vs. expectations, gross margin delta vs. prior year) and whether full-year guidance was raised - a guidance raise is what separates a durable re-rating from a relief rally.

KEY RISK

Thesis is invalid on a close back below \$54.00 (approximately the pre-earnings close / gap-fill zone) within the next 5 sessions, which would signal the market is fading the print as a one-time event; additionally, any Q2 guidance that implies margin compression resumes or SSS turns negative would fully discredit the turnaround thesis and trigger institutional exits.

AAP - Analysis (continued)

ANALYSIS

The strongest disconfirming evidence is the combination of a wide base (base_tight 5.18 - far outside VCP territory), RS vs SPY of only +2.6 (the stock has been a significant laggard over 12 weeks, meaning today's surge is recovery from deep underperformance rather than confirmation of sustained leadership), and the RS line NOT at a new high - this is a turnaround trade, not a momentum breakout. The setup fails multiple Qullamaggie criteria (no RS line new high, poor 3-month RS, extremely loose base). What earns the B grade is the prox_52w of 87.5 (genuine breakout zone), the 5.0x volume surge (real institutional activity), and the fact that turnaround inflection points - when earnings confirm the thesis - can produce extended moves even without prior RS leadership. In a large-cap-led risk-on regime, this consumer-cyclical name faces a macro crosswind; however, the earnings catalyst today is live and not yet discounted for future quarters. The asymmetric risk is that this is a fully-discounted single-quarter pop rather than a multi-quarter re-rating - without a guidance raise and without insider buying ahead of the print, conviction on follow-through beyond initial gap is limited. Conviction: Medium.

Signal: Hold above \$57.00 gap-support on volume normalization;

Vol vs Avg: 5.0x

